

Does M&A create value? A decade of US deals

TO Board and deal committee
DATE April 2025 (data to 31 March 2025)

FROM Alessandro Radice
RE Base rates for a large acquisition

DEALS STUDIED, 2012 TO 2021

786

MEAN 36-MONTH ABNORMAL RETURN

-12.4%

ACQUIRERS BEATING PEERS AFTER 3 YEARS

37%

YEARLY ALPHA, STOCK-FUNDED DEALS

-6.8%

01 Summary

Announcement returns tell us what investors expect a deal to do. This memo looks at what happened afterwards. It follows **786 acquisitions** by US listed non-financial companies completed from 2012 to 2021, each worth at least \$100m and 10% of the acquirer's market value, and measures the acquirer's total return over the next three to five years against stocks of the same size and valuation. Everything is rebuilt from public filings and prices, including delisted companies.

Three years after completion the average acquirer had fallen **12.4% behind** its peers (median 21.3%), and only 37% were ahead. Most of that gap reflects the kind of company that acquires: high-beta, smaller, low-momentum stocks, which lagged over the period anyway. Adjusted for those exposures the average shortfall is about 2% a year and statistically weak. What survives the risk adjustment is the **method of payment**: acquirers that paid partly or mostly in stock trailed by about 7% a year, cash acquirers by 1.2%, which is indistinguishable from zero. Margins did not improve beyond normal mean reversion, and 47% of acquirers wrote goodwill down within five years.

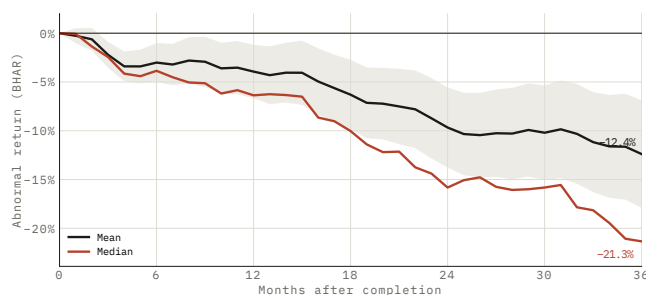
RECOMMENDATION

Approve a large acquisition only when the case explains why it will beat a negative base rate, with synergies that can be tracked in the accounts. Treat stock consideration and a high share of goodwill in the price as warning signs that need an explicit answer, not as neutral financing or accounting choices.

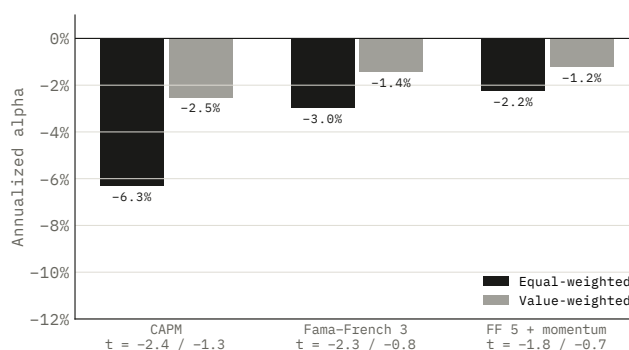
02 Three years after closing

The shortfall builds steadily: -3.9% after one year, -12.4% after three and -18.6% after five for deals completed by March 2020. The median sits below the mean because a minority of deals did very well.

MEAN AND MEDIAN ABNORMAL RETURN, MONTHS AFTER COMPLETION



CALENDAR-TIME ALPHA, ANNUALISED



03 Margins and goodwill

Industry-adjusted return on assets fell from +3.8% the year before the deal to a median of +2.1% over the next three years. A regression of post-deal on pre-deal performance shows the fall is what mean reversion predicts: the abnormal change is -0.44% (t = -1.14). Goodwill impairments reached 36% of acquirers within three years and 47% within five; 33% impaired at least a tenth of the deal value.

04 Is it the deal or the acquirer?

The calendar-time test holds every acquirer within 36 months of its deal in one monthly portfolio and measures the return that the Fama-French five factors and momentum do not explain. The average shortfall shrinks sharply; the payment split does not.

PORTFOLIO, FIVE FACTORS + MOMENTUM	ALPHA / MONTH	T READING
All acquirers, equal-weighted	-0.19%	-1.80 significant only at 10%
All acquirers, value-weighted	-0.10%	-0.72 not statistically significant
Paid in cash	-0.10%	-0.82 not statistically significant
Paid partly or mostly in stock	-0.58%	-3.18 significant at 1%
Stock minus cash	-0.54%	-2.65 significant at 1%

153 months, March 2012 to November 2024; Newey-West t-statistics. The same acquirers, in later three-year windows without a deal, averaged +6% against their benchmark, suggesting that the event-time gap is not only about the firms.

05 Which deals did worse

Sorted one trait at a time, the pattern matches the academic evidence: stock-funded deals have the worst median, richly valued acquirers the worst mean, and deals where most of the price became goodwill did worse than those backed by identifiable assets. In a regression with all traits together none is individually significant: warning signs, not a scoring model.

36-MONTH ABNORMAL RETURN	DEALS	MEAN	MEDIAN	BEAT PEERS
Paid mostly in stock	112	-18.4%	-41.4%	30%
Paid in cash	569	-10.6%	-19.2%	37%
Glamour acquirer (lowest book-to-market)	283	-19.1%	-27.8%	31%
Value acquirer (top two book-to-market quintiles)	147	-6.7%	-21.5%	41%
Highest goodwill share of price	182	-18.9%	-23.2%	32%
Lowest goodwill share of price	178	-6.9%	-10.7%	43%

06 What a deal team should do

- **Start from the base rate.** Two in three acquirers trail comparable stocks over three years. Ask what makes this deal different, in terms that can be checked.
- **Price the currency.** If the seller wants shares, or the board prefers to issue them, ask what each side believes about their value.
- **Tie the synergy case to reported numbers.** Set margin and cash-flow milestones for years one to three and report against them.
- **Stress the goodwill.** A price that is mostly goodwill needs an integration plan that justifies it.

07 Limits and sources

Deals come from XBRL acquisition spending and 8-K Item 2.01 dates, not a commercial database; payment relies on filer tags and probably undercounts stock; 83% of candidate deals were matched to a validated price series; benchmarks do not control for industry; returns show association, not causation. Sources: SEC EDGAR, DoltHub stock prices and dividends, Kenneth R. French Data Library; Loughran and Vijh (1997), Rau and Vermaelen (1998), Mitchell and Stafford (2000), Healy, Palepu and Ruback (1992). Full method in the accompanying paper.